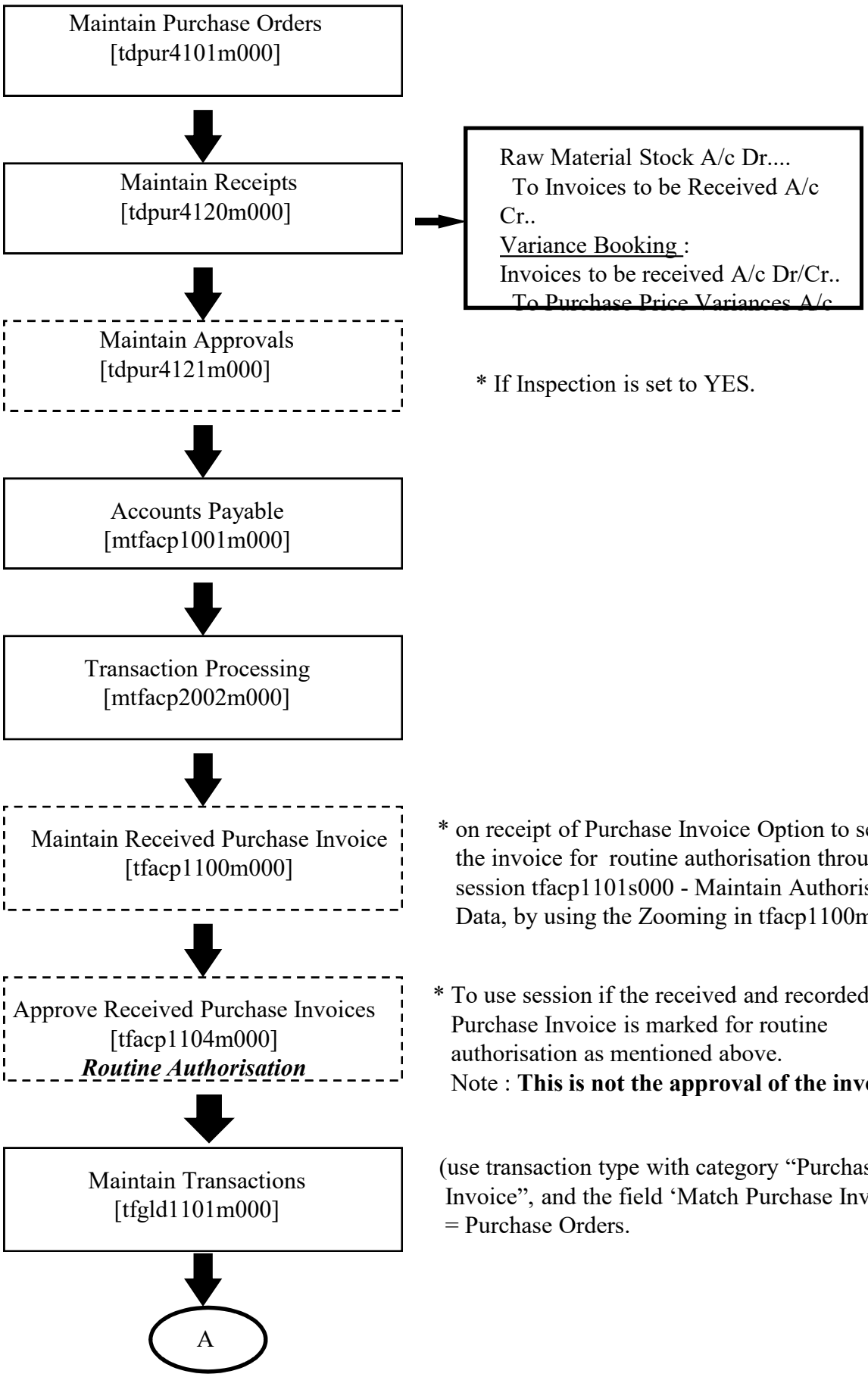
Business Model Specification

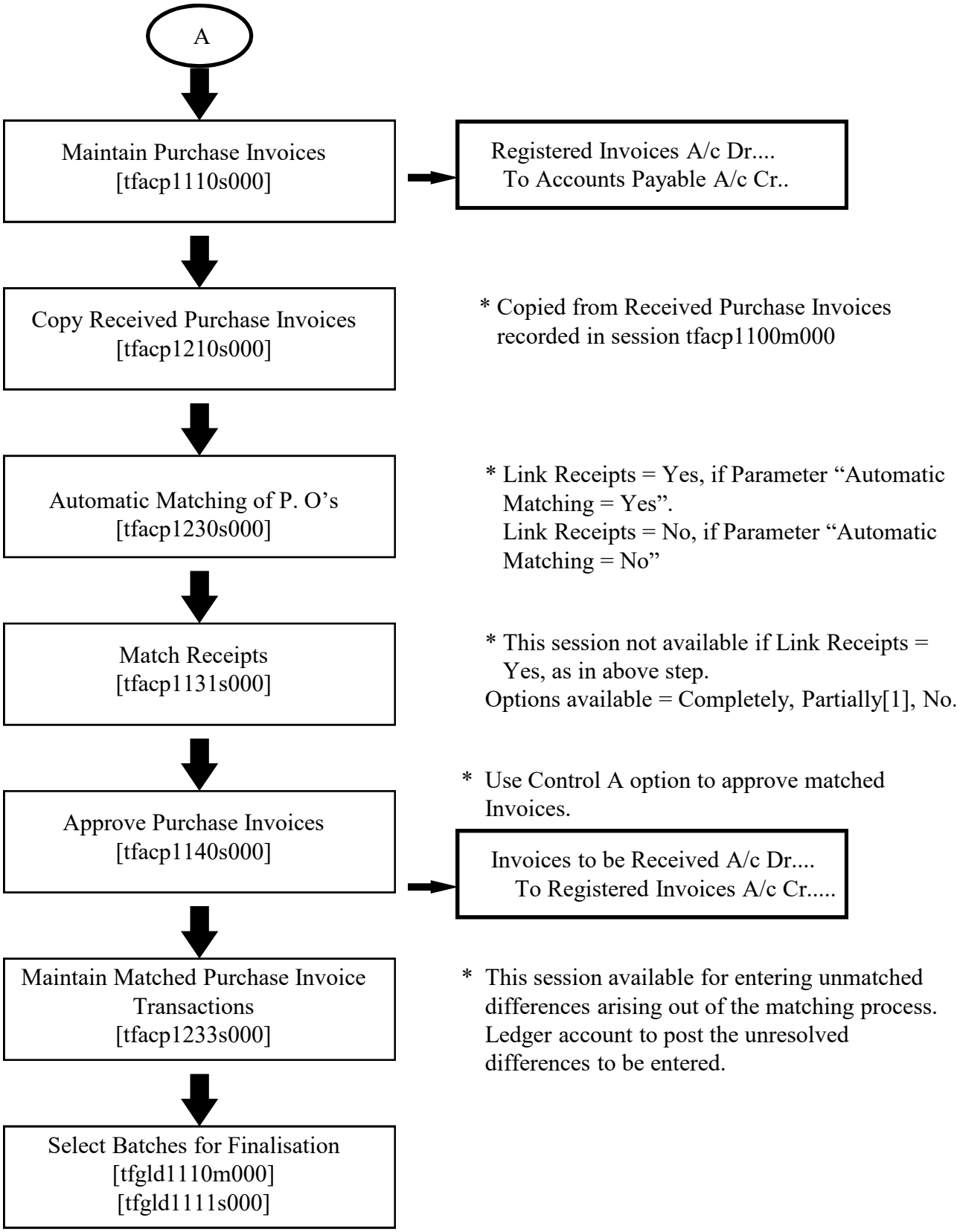
ACCOUNTS PAYABLE

FULLONBAAN

One Stop Destination for IT Solutions

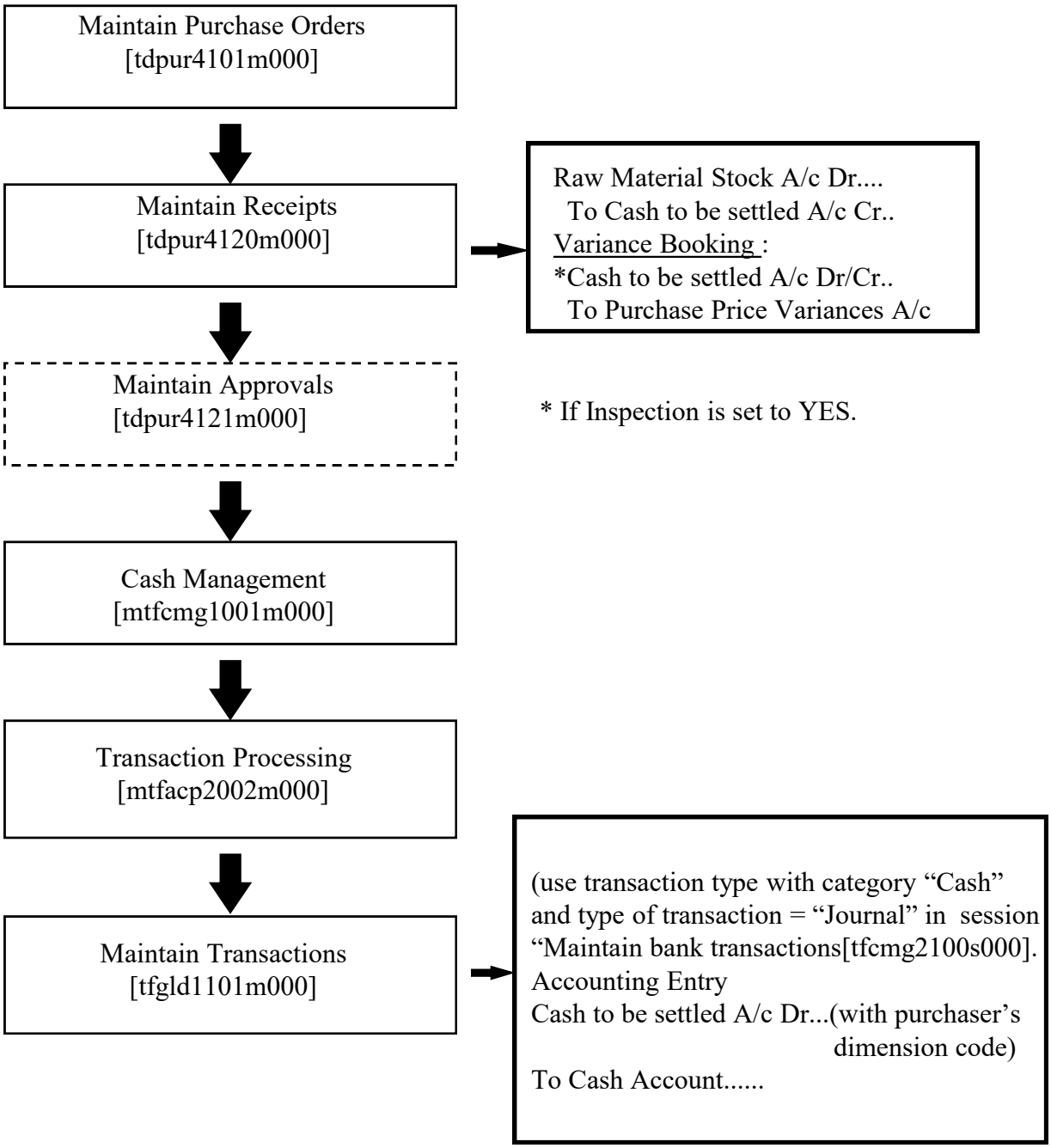
PROCEDURE FOR CREDIT PURCHASE





[1] At the time of matching receipts, if the option " Partially" is chosen, and the amount is changed then there is an automatic integration transaction generated for Purchase Price Variances.

PROCEDURE FOR CASH PURCHASE

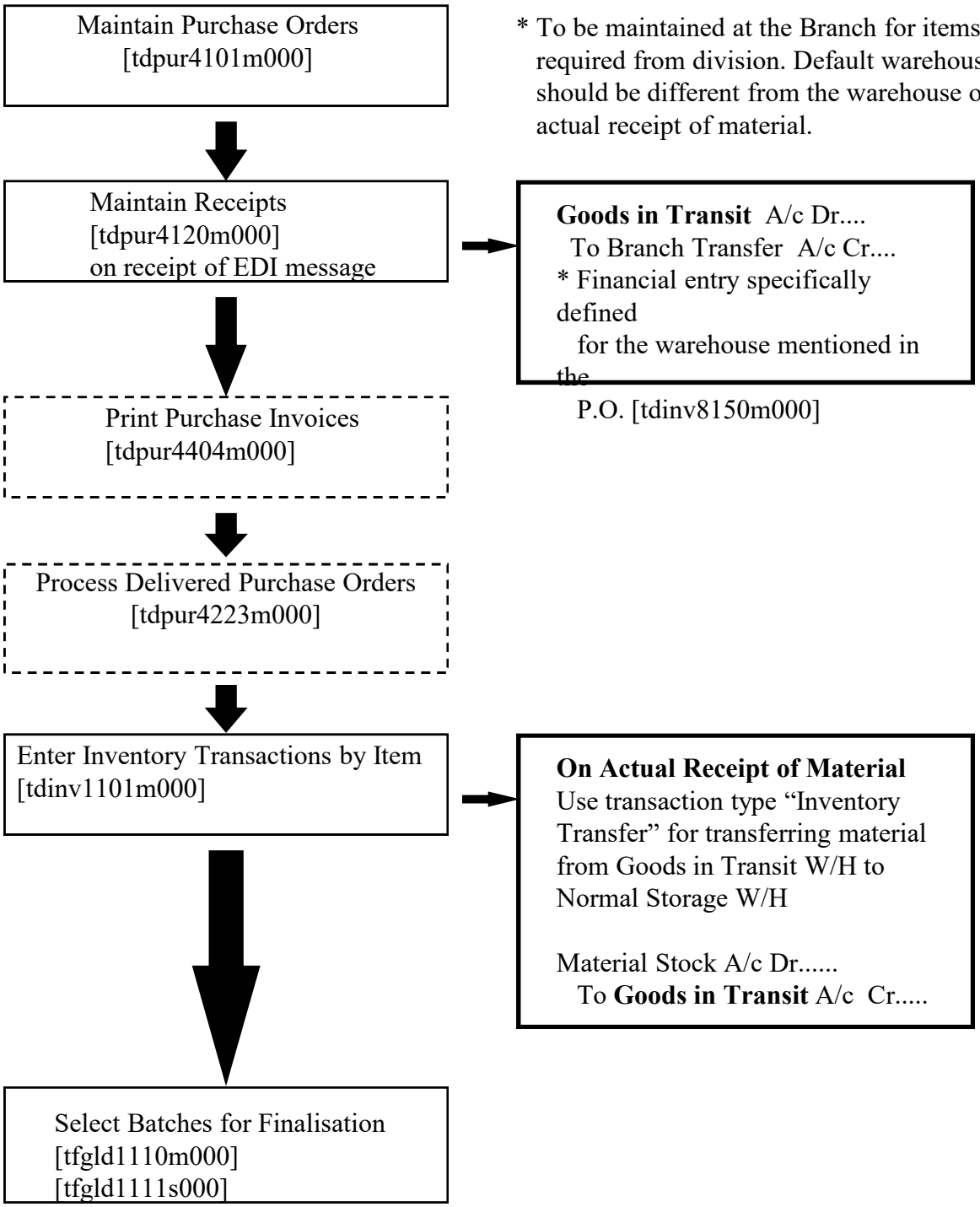


* 1] Link dimension code of purchaser on the basis of purchase order series to the ledger account "Cash to be settled".

2] Create separate financial supplier group to pass the above integration accounting entry

PROCEDURE FOR BRANCH TRANSFERS

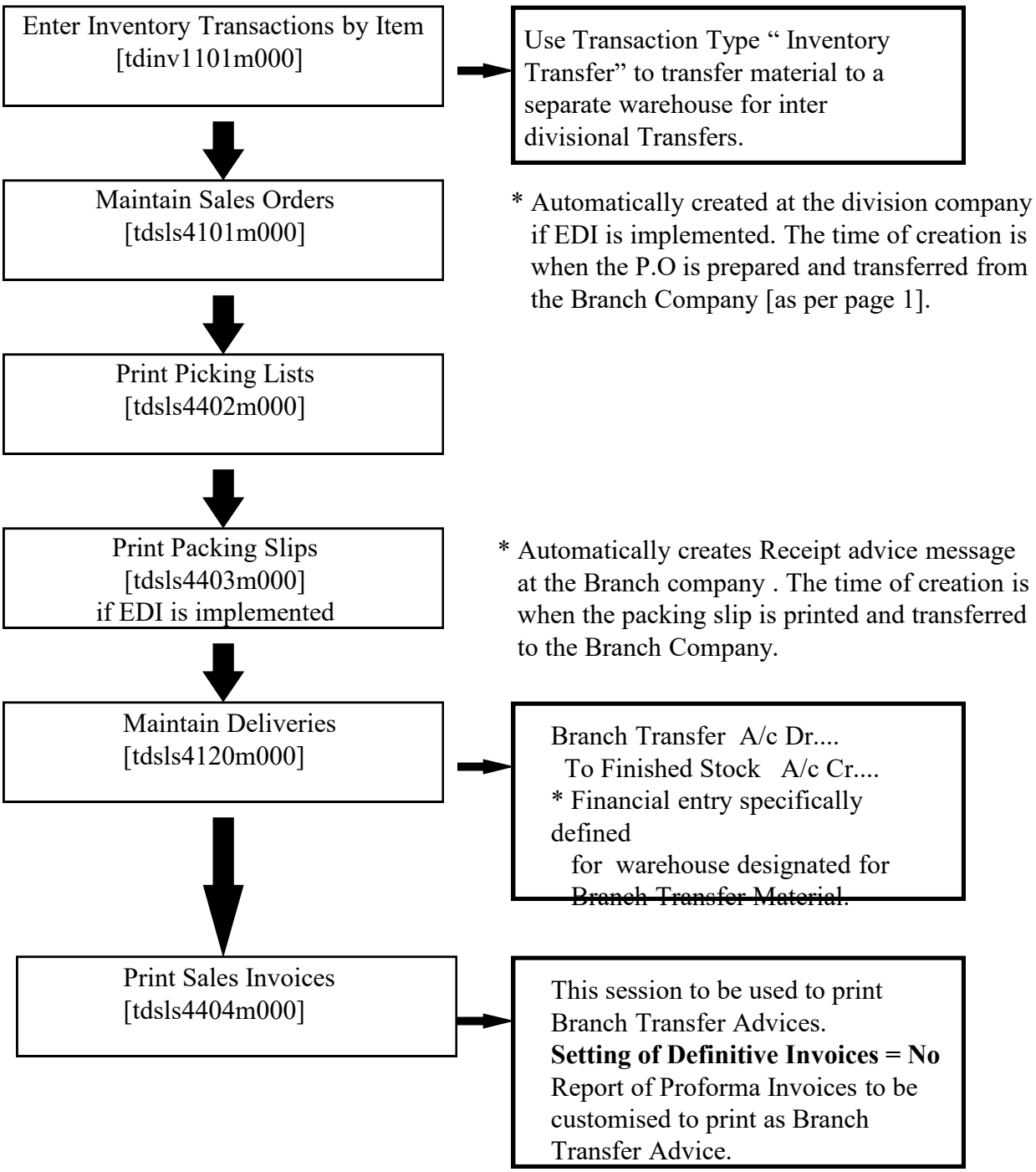
A] **Procedure flow in the Branch Company**



There is no need to run the sessions Print the Purchase Invoice [tdpur4404m000], nor Process Delivered Purchase Orders [tdpur4223m000]. This is a work around for the transfer of inventory from the division to the branch. As Multi Site is being implemented, it is not possible to logistically transfer inventory from a warehouse belonging to one company, to a warehouse belonging to another company. Hence this procedure.

The above procedure is a truncated Purchase Procedure, and does not affect logistic and financial tables.

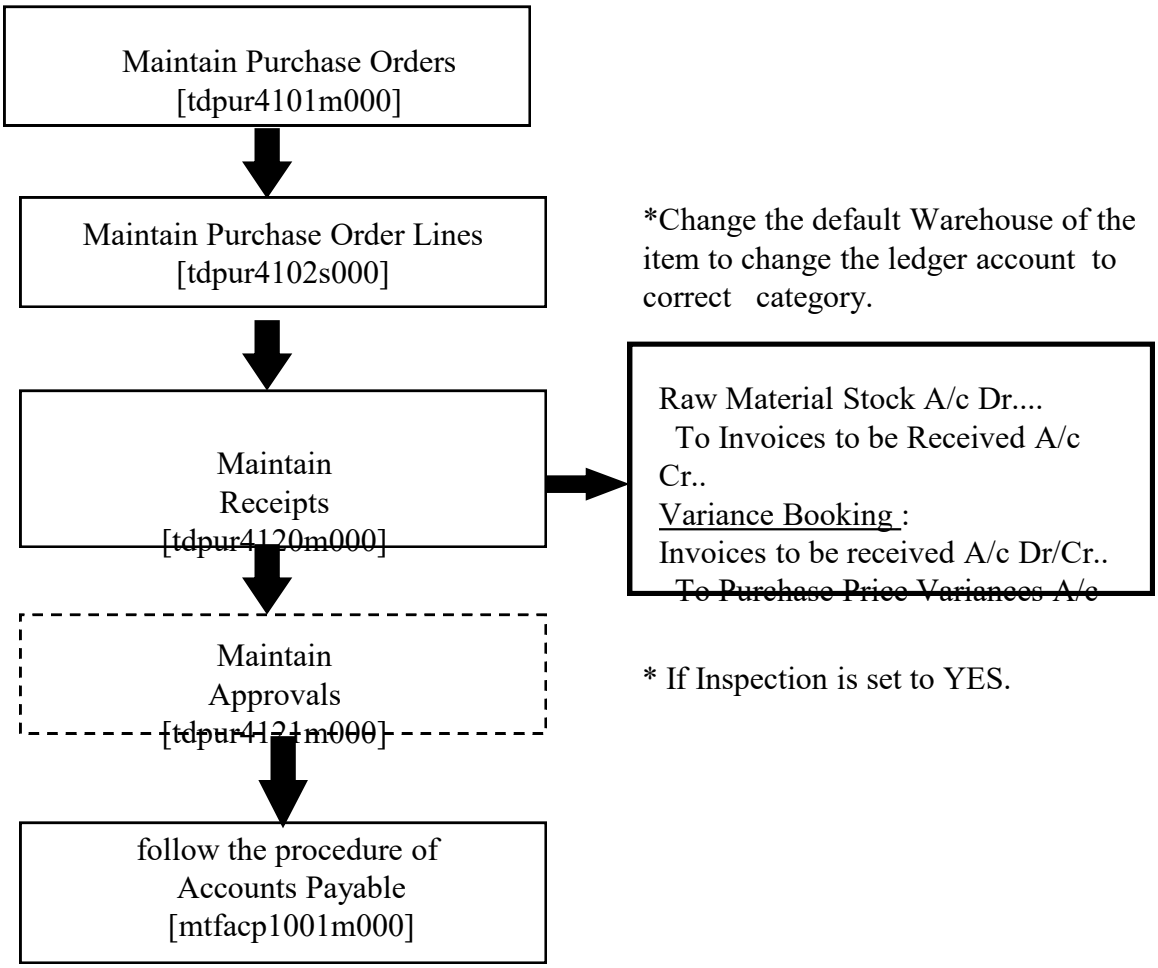
A] **Procedure flow in the Division Company**



There is no need to run the session Process Delivered Purchase Orders [tdsls4223m000]. This is a work around for the transfer of inventory from the division to the branch. As Multi Site is being implemented, it is not possible to logistically transfer inventory from a warehouse belonging to the division, to a warehouse belonging to the Branch. Hence this procedure. The above procedure is a truncated Sales Procedure, and does not affect logistic and financial tables.

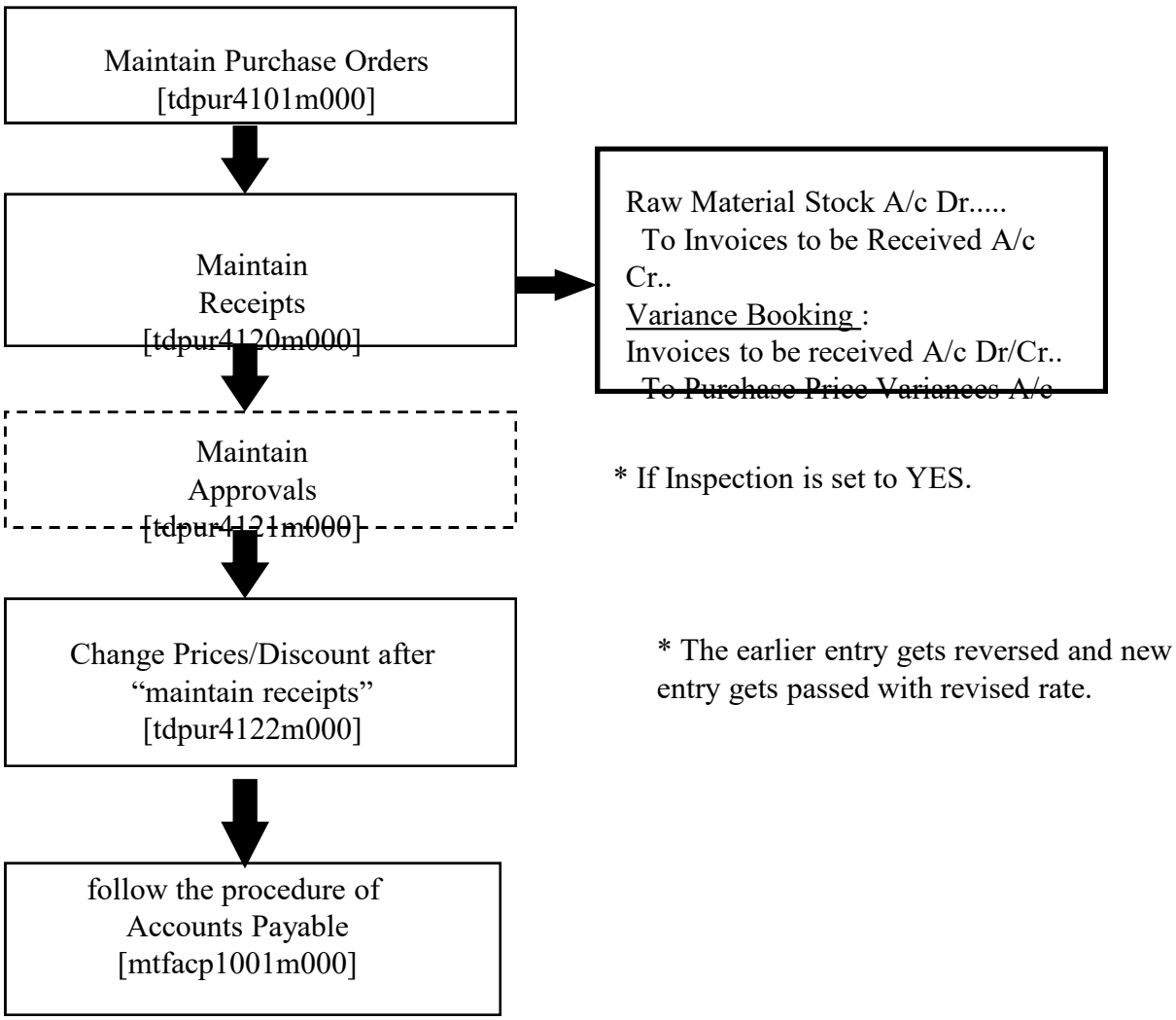
It is imperative to note that Branch Transfer Advices only have to be printed for Branch Transfers and at this time the field Definitive Invoices = Yes/No in session "Print Sales Invoices", should be set to "NO"

PROCEDURE FOR CHANGE IN ACCOUNT CODE DEFINED IN THE INTEGRATION AFTER MAINTAINING THE PURCHASE ORDER BUT BEFORE MAINTAINING THE RECEIPT



Note : The category and Warehouse of the item is defined in the Item master . By default purchase order picks up the same. The accounting entries of integration transactions are based on the category of the items. If the nature of the purchase is different for any specific order then change in warehouse selects the account code linked to that combination. This is the function of Accounts department.

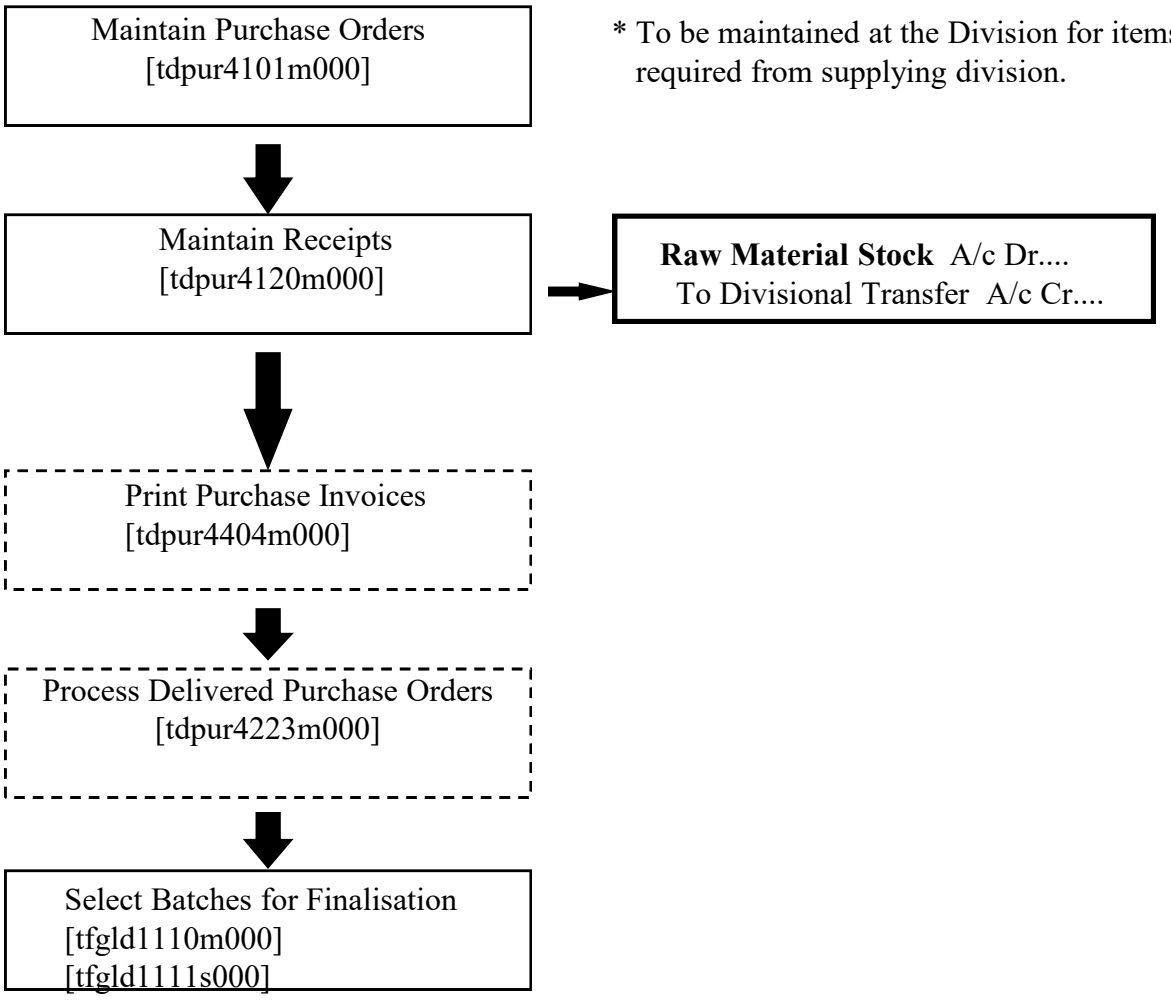
PROCEDURE FOR CHANGE IN THE PURCHASE ORDER RATE AFTER MAINTAINING RECEIPT BUT BEFORE PROCESSING OF DELIVERED PURCHASE ORDERS



Note : The rate change after maintain receipt is possible only before the "Process delivered purchase orders"[tdpur4223m000]. The rate change updates the history and also updates the item master if the field " Update price in Item file" is set to "Yes".

PROCEDURE FOR CAPTIVE CONSUMPTION

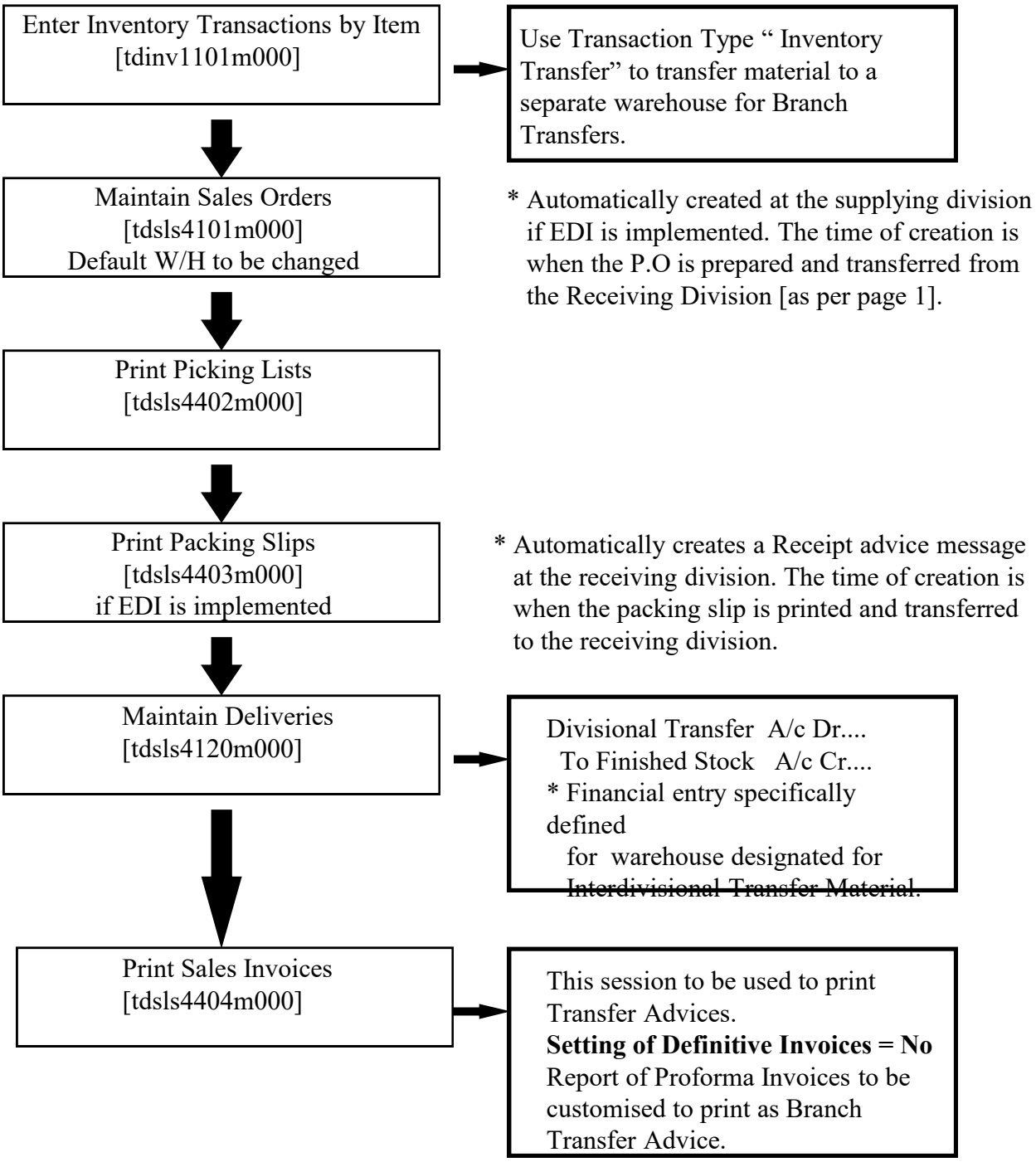
A] **Procedure flow in the Receiving Division**



There is no need to run the sessions Print the Purchase Invoice [tdpur4404m000], nor Process Delivered Purchase Orders [tdpur4223m000]. This is a work around for the transfer of inventory from one division to another division. As Multi Site is being implemented, it is not possible to logistically transfer inventory from a warehouse belonging to one company, to a warehouse belonging to another company. Hence this procedure.

The above procedure is a truncated Purchase Procedure, and does not affect logistic and financial tables.

A] **Procedure flow in the Supplying Division**

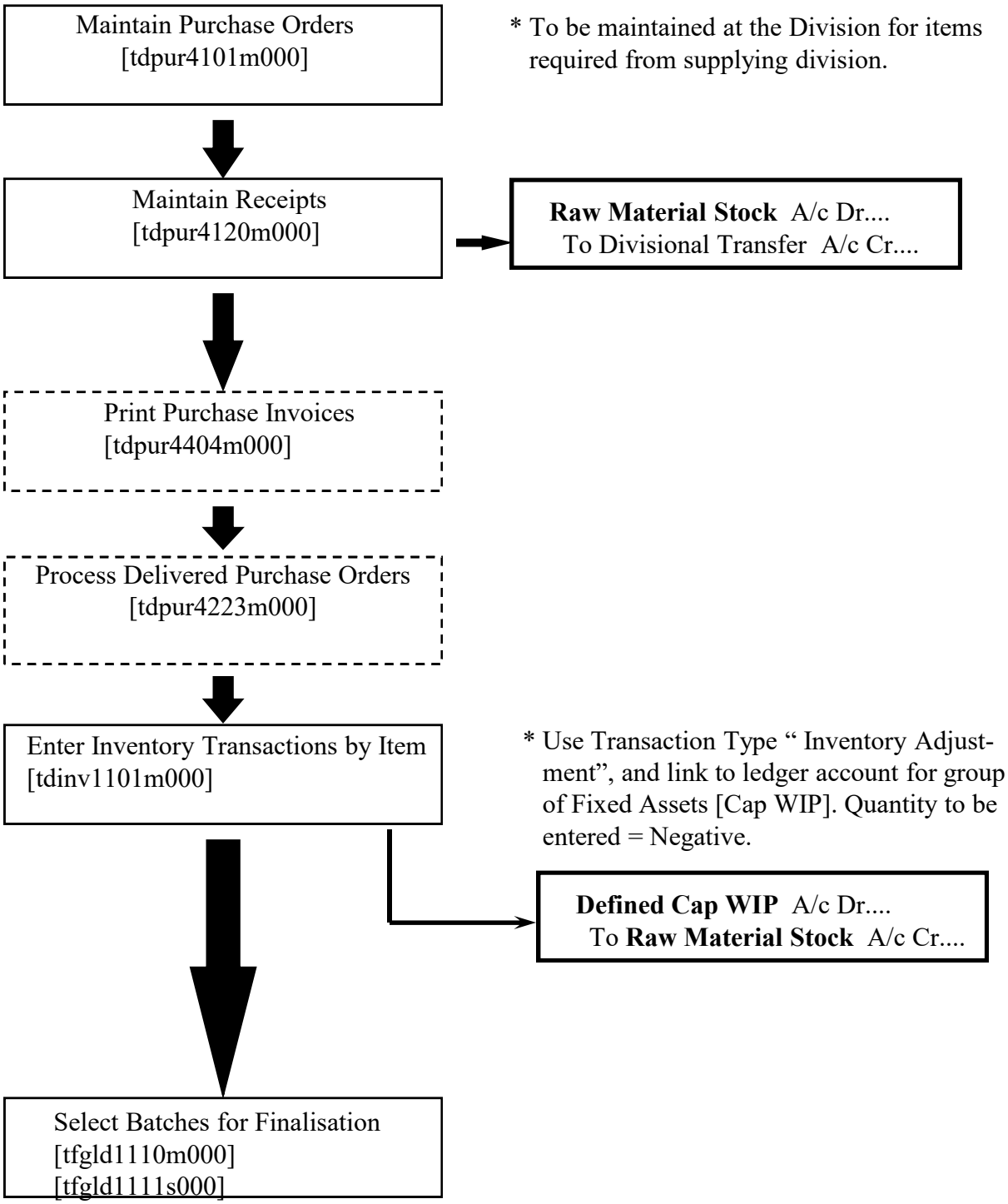


There is no need to run the session Process Delivered Sales Orders [tdsls4223m000]. This is a work around for the transfer of inventory from the division to the branch. As Multi Site is being implemented, it is not possible to logistically transfer inventory from a warehouse belonging to the division, to a warehouse belonging to the Branch. Hence this procedure. The above procedure is a truncated Sales Procedure, and does not affect logistic and financial tables.

It is imperative to note that Branch Transfer Advices only have to be printed for Branch Transfers and at this time the field Definitive Invoices = Yes/No in session "Print Sales Invoices", should be set to "NO"

PROCEDURE FOR CAPITALISATION OF INVENTORY

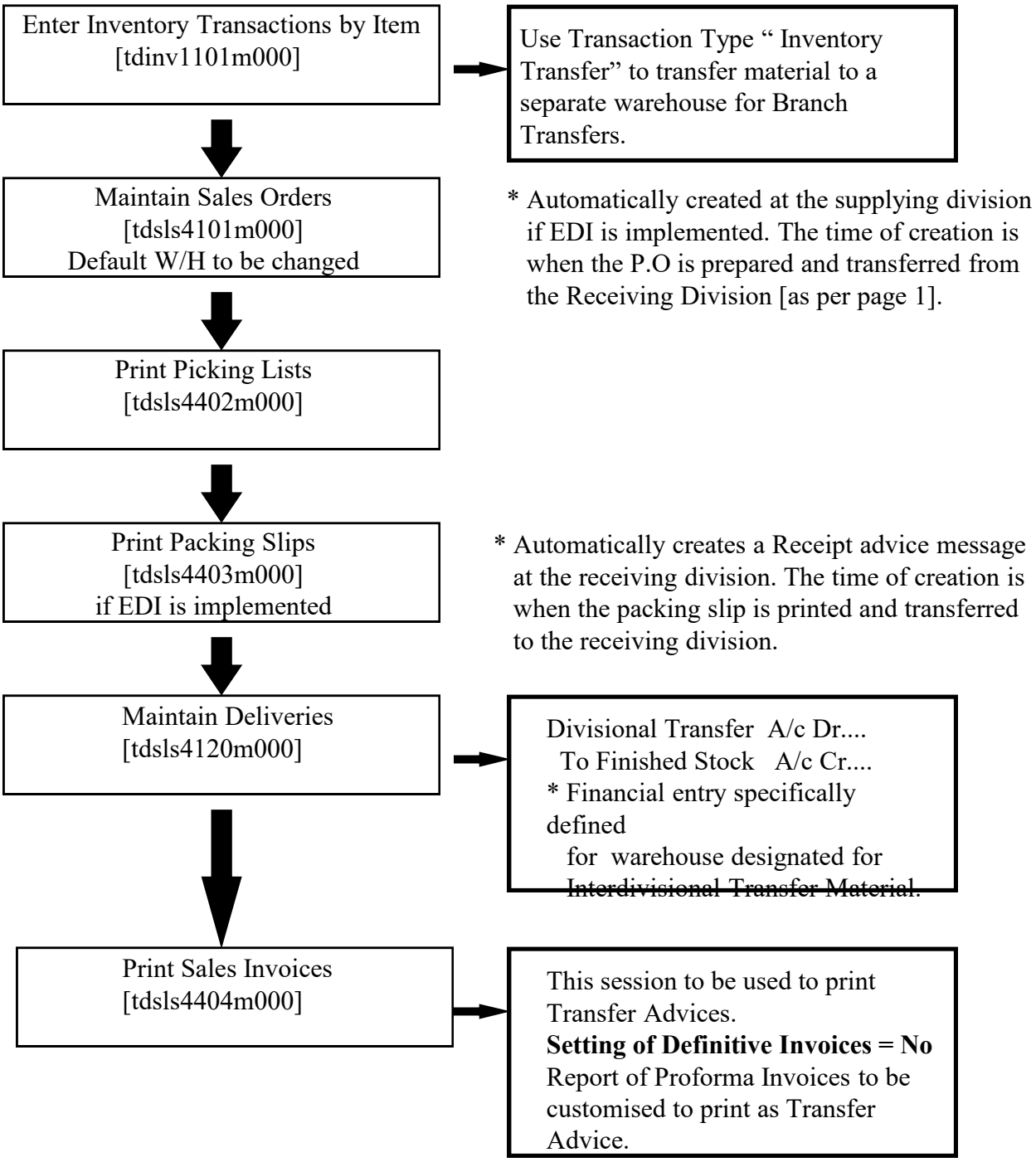
A] **Procedure flow in the Receiving Division**



There is no need to run the sessions Print the Purchase Invoice [tdpur4404m000], nor Process Delivered Purchase Orders [tdpur4223m000]. This is a work around for the transfer of inventory from one division to another division for capitalisation. As Multi Site is being implemented, it is not possible to logistically transfer inventory from a warehouse belonging to one company, to a warehouse belonging to another company. Hence this procedure.

The above procedure is a truncated Purchase Procedure, and does not affect logistic and financial tables.

A] **Procedure flow in the Supplying Division**



There is no need to run the session Process Delivered Sales Orders [tdsls4223m000]. This is a work around for the transfer of inventory from the division to the branch. As Multi Site is being implemented, it is not possible to logistically transfer inventory from a warehouse belonging to the division, to a warehouse belonging to the Branch. Hence this procedure. The above procedure is a truncated Sales Procedure, and does not affect logistic and financial tables.

It is imperative to note that Transfer Advices only have to be printed for Branch Transfers and at this time the field Definitive Invoices = Yes/No in session "Print Sales Invoices", should be set to "NO"

PROCEDURE FOR PURCHASE DEBIT NOTES

Transaction Processing
[mtfacp2002m000]

↓

Maintain Transactions
[tfgld1101m000]

* use transaction type with category "Purchase Credit Note", and the field 'Match Purchase Invoices' = No.

↓

Maintain Purchase Invoices
[tfacp1110s000]

* To enter Supplier Code, Date of transaction, Amount of Transaction and other required Header Data.

↓

Maintain Purchase Invoice Transactions
[tfacp1120s000]

* To enter ledger Account for the transaction amount. (More than one ledger account can be entered here). Total amount entered here should be the transaction amount entered in the Header Data.

↓

Select Batches for Finalisation
[tfgld1110m000]
[tfgld1111s000]

Accounts Payable A/c Dr....
To Ledger Accounts Dr/Cr.....

PROCEDURE FOR PURCHASE CREDIT NOTES

Transaction Processing
[mtfacp2002m000]

↓

Maintain Transactions
[tfgld1101m000]

* use transaction type with category " **Purchase Invoice** ", and the field 'Match Purchase Invoices' = No.

↓

Maintain Purchase Invoices
[tfacp1110s000]

* To enter Supplier Code, Date of transaction, Amount of Transaction and other required Header Data.

↓

Maintain Purchase Invoice Transactions
[tfacp1120s000]

* To enter ledger Account for the transaction amount. (More than one ledger account can be entered here). Total amount entered here should be the transaction amount entered in the Header Data.

↓

Select Batches for Finalisation
[tfgld1110m000]
[tfgld1111s000]

Ledger Accounts Dr/Cr .....
To Accounts Payable Cr.....
* Amount for Accounts Payable from Header data

* Since the transaction category for Purchase Credit Notes and Purchase of non inventory items is the same (Purchase Invoice), it is suggested to use different codings for each transaction type, to differentiate between the financial transactions arising from them..

PROCEDURE FOR PURCHASE OF NON INVENTORY ITEMS and EXPENSE BOOKING

Transaction Processing
[mtfacp2002m000]

↓

Maintain Transactions
[tfgld1101m000]

* use transaction type with category " **Purchase Invoice** ", and the field 'Match Purchase Invoices' = No.

↓

Maintain Purchase Invoices
[tfacp1110s000]

* To enter Supplier Code, Date of transaction, Amount of Transaction and other required Header Data.

↓

Maintain Purchase Invoice Transactions
[tfacp1120s000]

* To enter ledger Account for the transaction amount. (More than one ledger account can be entered here). Total amount entered here should be the transaction amount entered in the Header Data.

↓

Select Batches for Finalisation
[tfgld1110m000]
[tfgld1111s000]

Ledger Accounts Dr/Cr .....
To Accounts Payable Cr.....
* Amount for Accounts Payable from Header data

* Since the transaction category for Purchase Credit Notes and Purchase of non inventory items is the same (Purchase Invoice), it is suggested to use different codings for each transaction type, to differentiate between the financial transactions arising from them..

PROCEDURE FOR LINKING PURCHASE DEBIT NOTES to PURCHASE INVOICES

Transaction Processing
[mtfacp2002m000]
]

↓

Maintain Transactions
[tfgld1101m000]

* use transaction type with category " **Purchase Correction** ".
Main Session : tfacp2120s000
Next Session : tfacp2121s000

↓

Assign Credit Notes to Invoices
[tfacp2120s000]

* Select a supplier code, whose debit notes are to be assigned to invoices.

↓

Assign Invoices to Credit Notes
[tfacp2121s000]

* Session will display all the open invoices of the selected supplier as in above session. Debit notes can be completely/partially assigned, only upto the full amount of the note.

↓

Select Batches for Finalisation
[tfgld1110m000]
[tfgld1111s000]

→

Accounts Payable Dr .....
(Out of Invoice Open Amount)
To Accounts Payable Cr.....
(Out of Debit Note Amount)

PROCEDURE FOR SUBCONTRACTING P.O's

Maintain Purchase Orders
[tdpur4101m000]

* Generated from the manufacturing package from session "tisfc2250m000" for operations subcontracted.

Maintain Receipts
[tdpur4120m000]

Mfg. WIP A/c Dr....
To Invoices to be Received A/c Cr..
Variance Booking :
Invoices to be received A/c Dr/Cr..
To Purchase Price Variances A/c

Maintain Approvals
[tdpur4121m000]

* If Inspection is set to YES.

Accounts Payable
[mtfacp1001m000]

Transaction Processing
[mtfacp2002m000]

Maintain Received Purchase Invoice
[tfacp1100m000]

* on receipt of Subcontractor's Purchase Invoice it can be sent for routine authorisation through session tfacp1101s000 - Maintain Authorisation Data, by using the Zooming in tfacp1100m000.

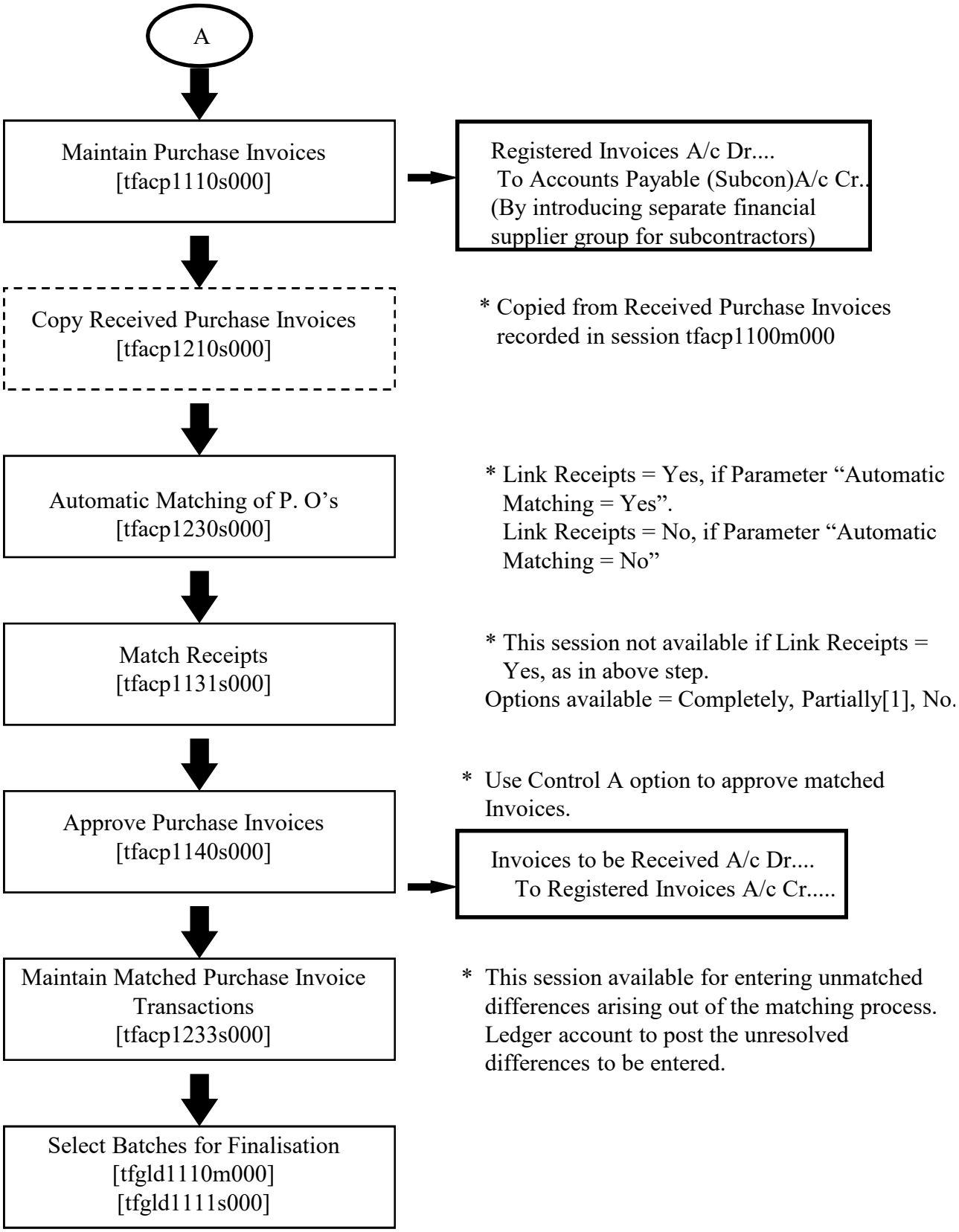
Approve Received Purchase Invoices
[tfacp1104m000]
Routine Authorisation

* To use session if the received and recorded Purchase Invoice is marked for routine authorisation as mentioned above.
Note : **This is not the approval of the invoice**

Maintain Transactions
[tfgld1101m000]

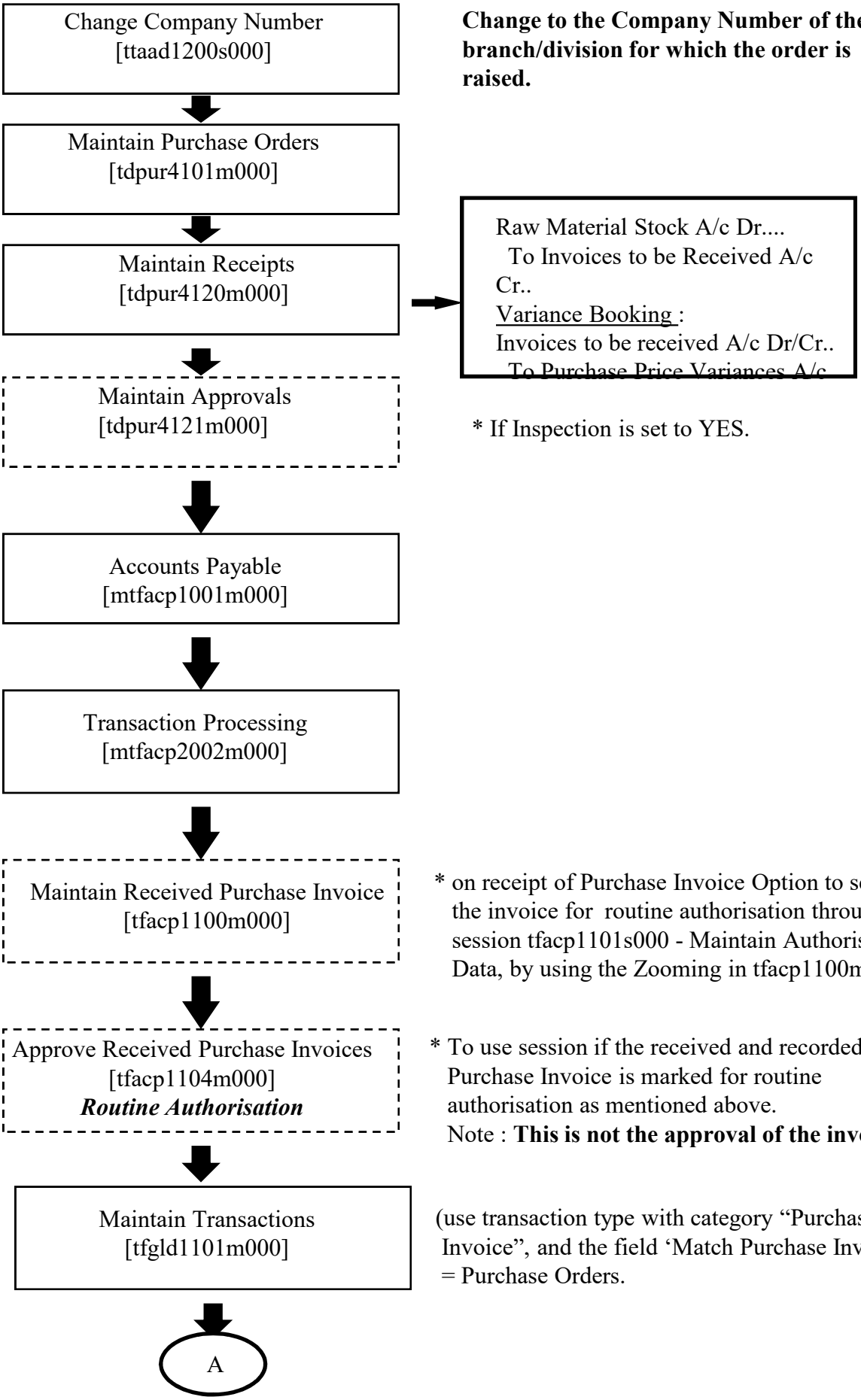
(use transaction type with category "Purchase Invoice", and the field 'Match Purchase Invoices' = Purchase Orders.

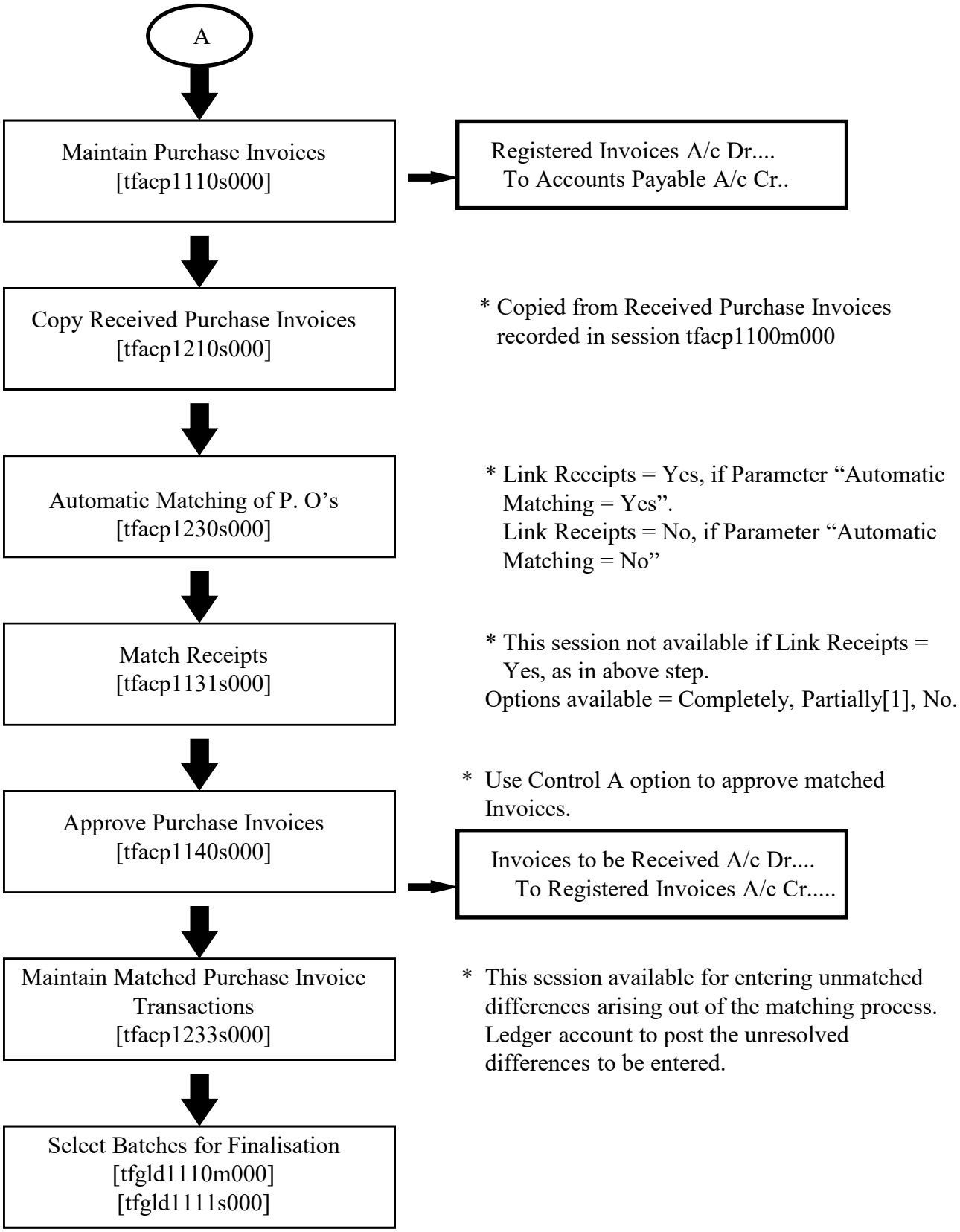
A



[1] At the time of matching receipts, if the option " Partially" is chosen, and the amount is changed then there is an automatic integration transaction generated for Purchase Price Variances.

PROCEDURE FOR RAISING P.O's BY BRANCH/DIVISION ON BEHALF OF OTHER BRANCH/DIVISION





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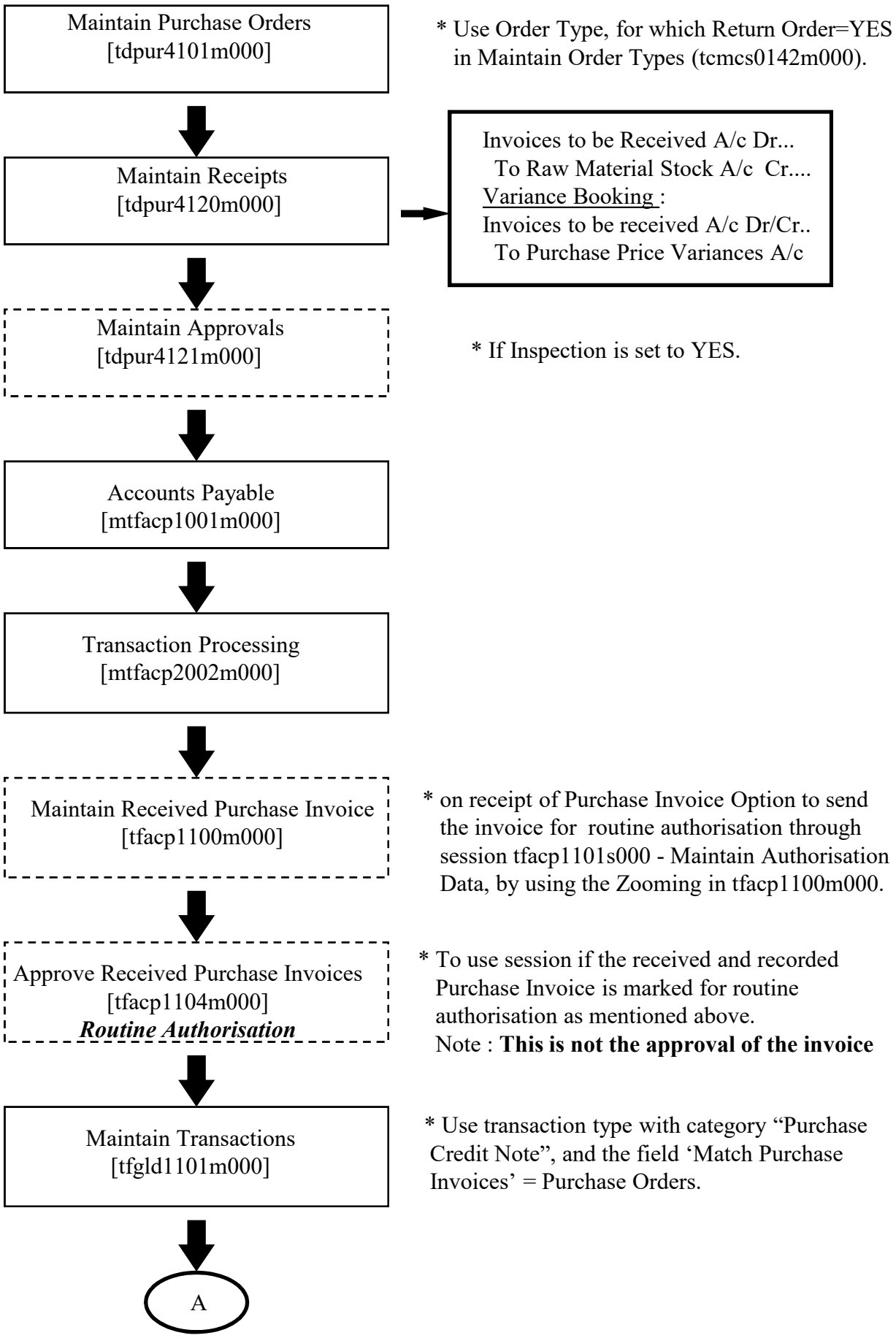
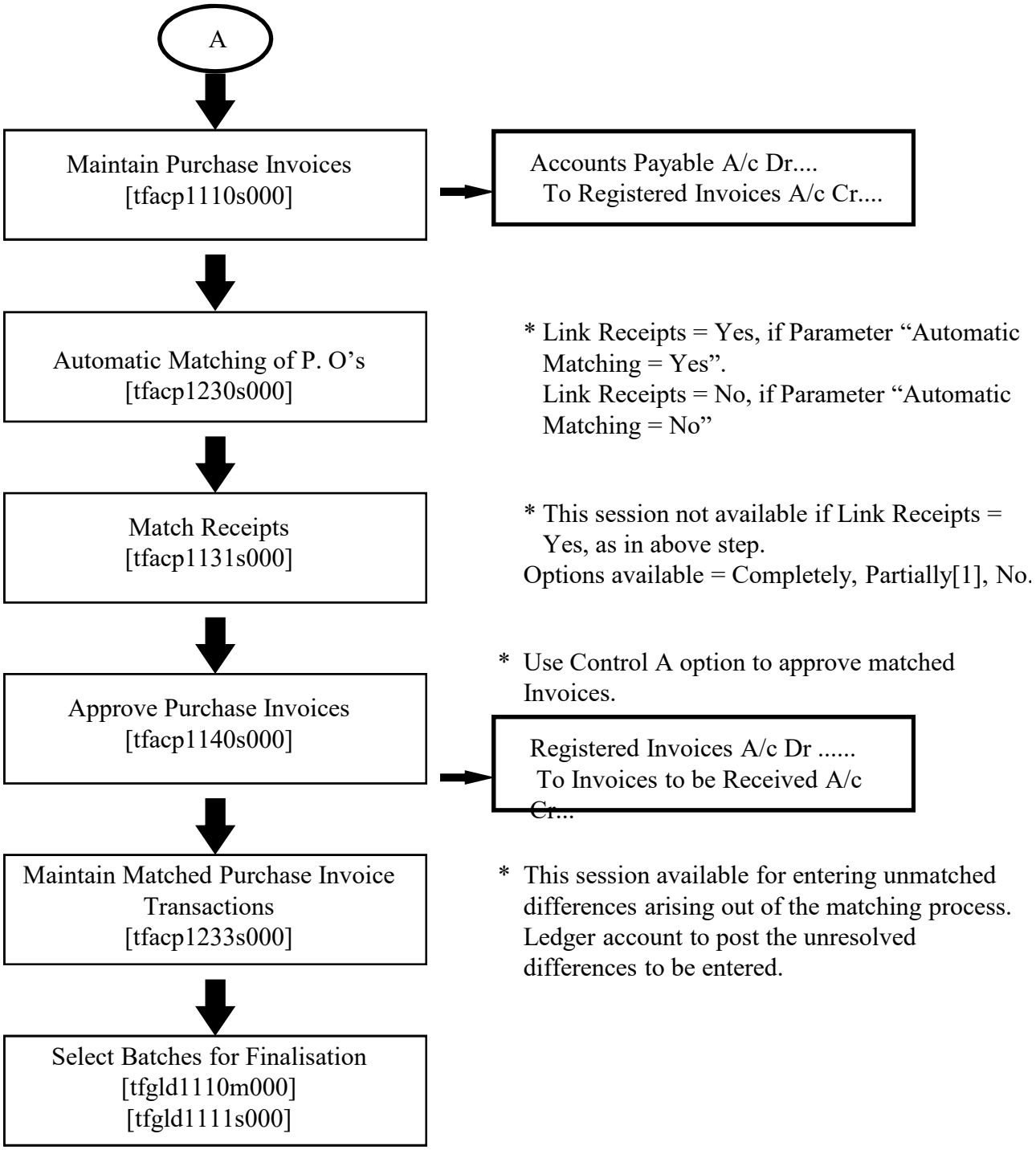
PROCEDURE FOR RETURN PURCHASE ORDER





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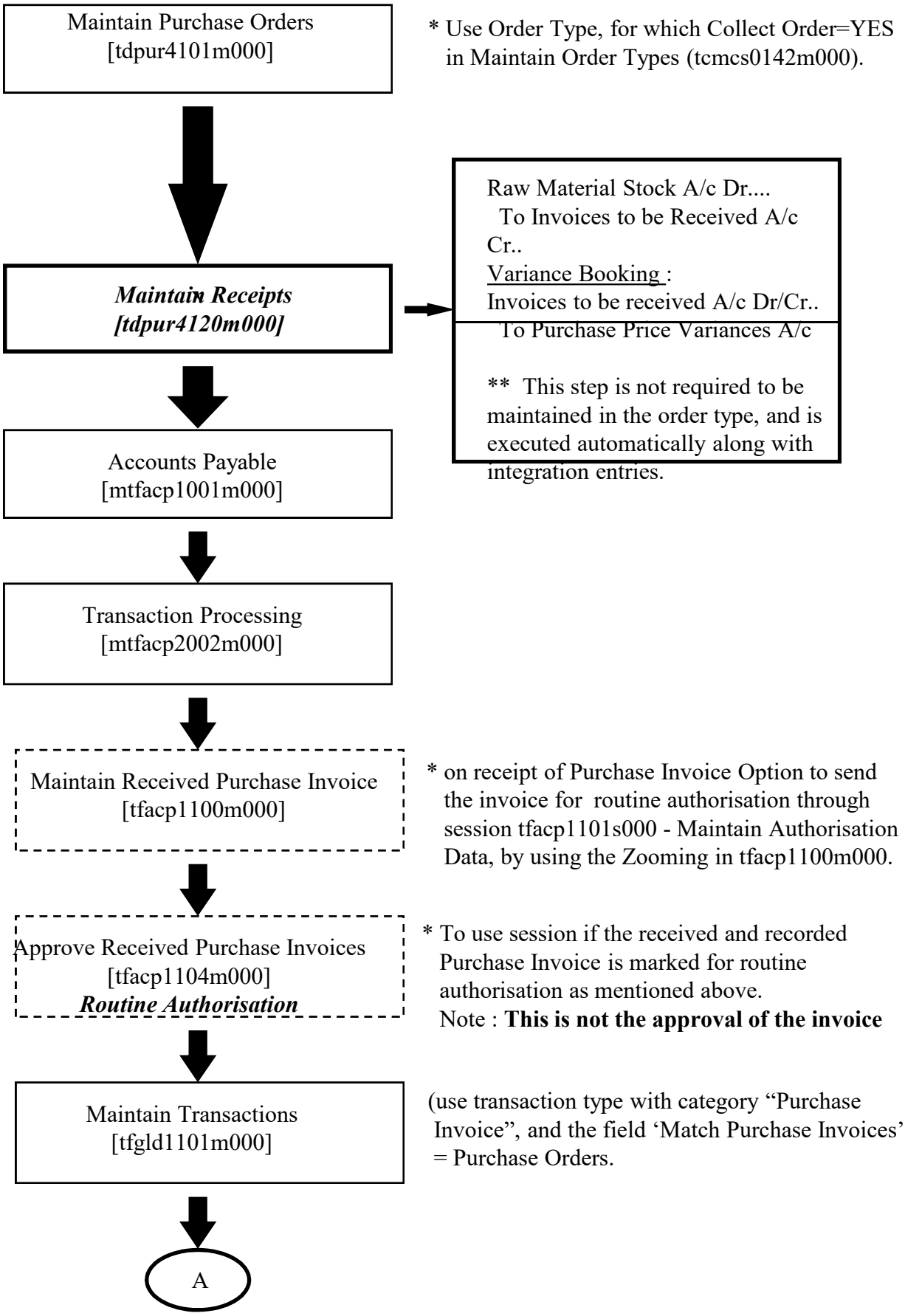
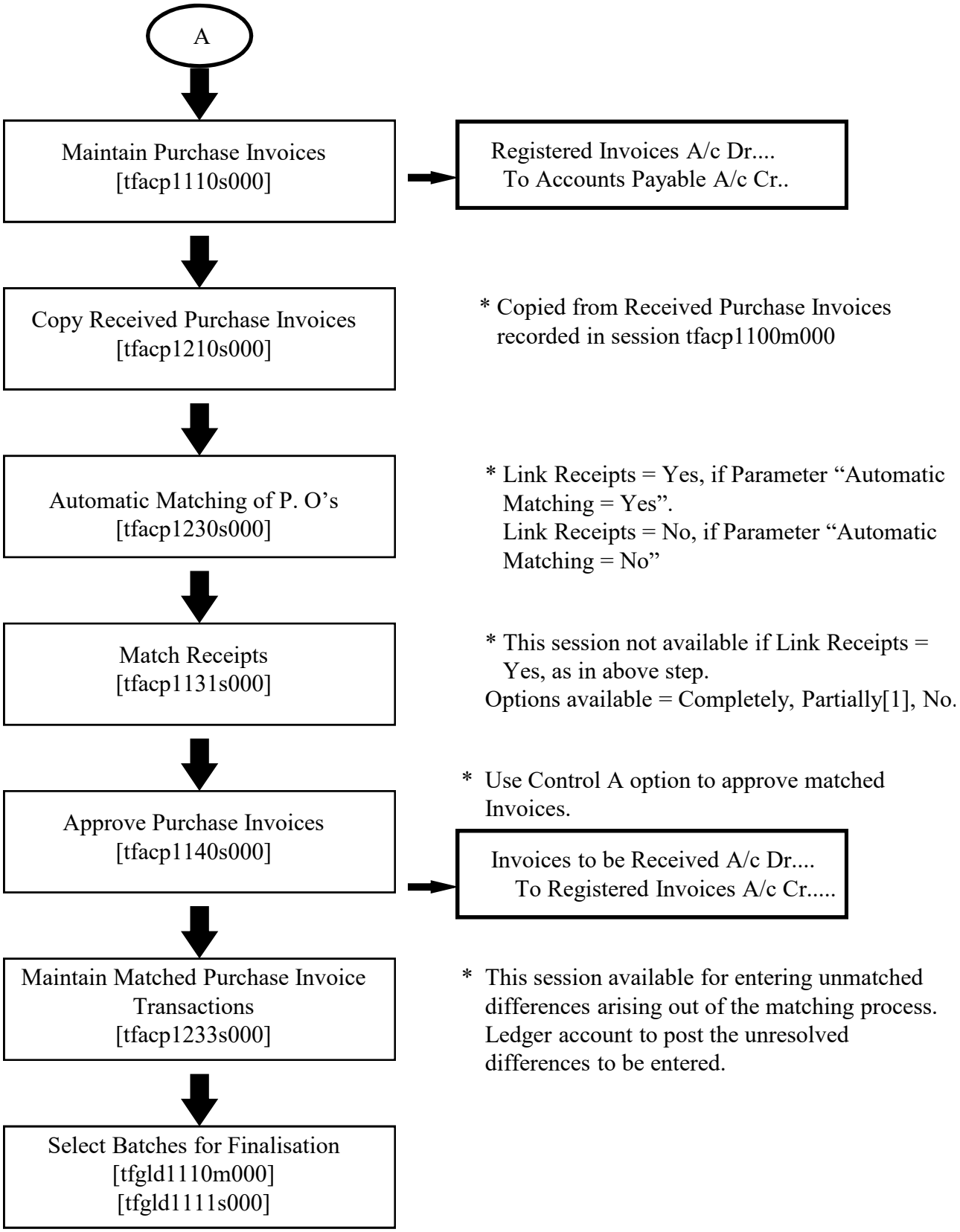
PROCEDURE FOR PURCHASE COLLECT ORDER





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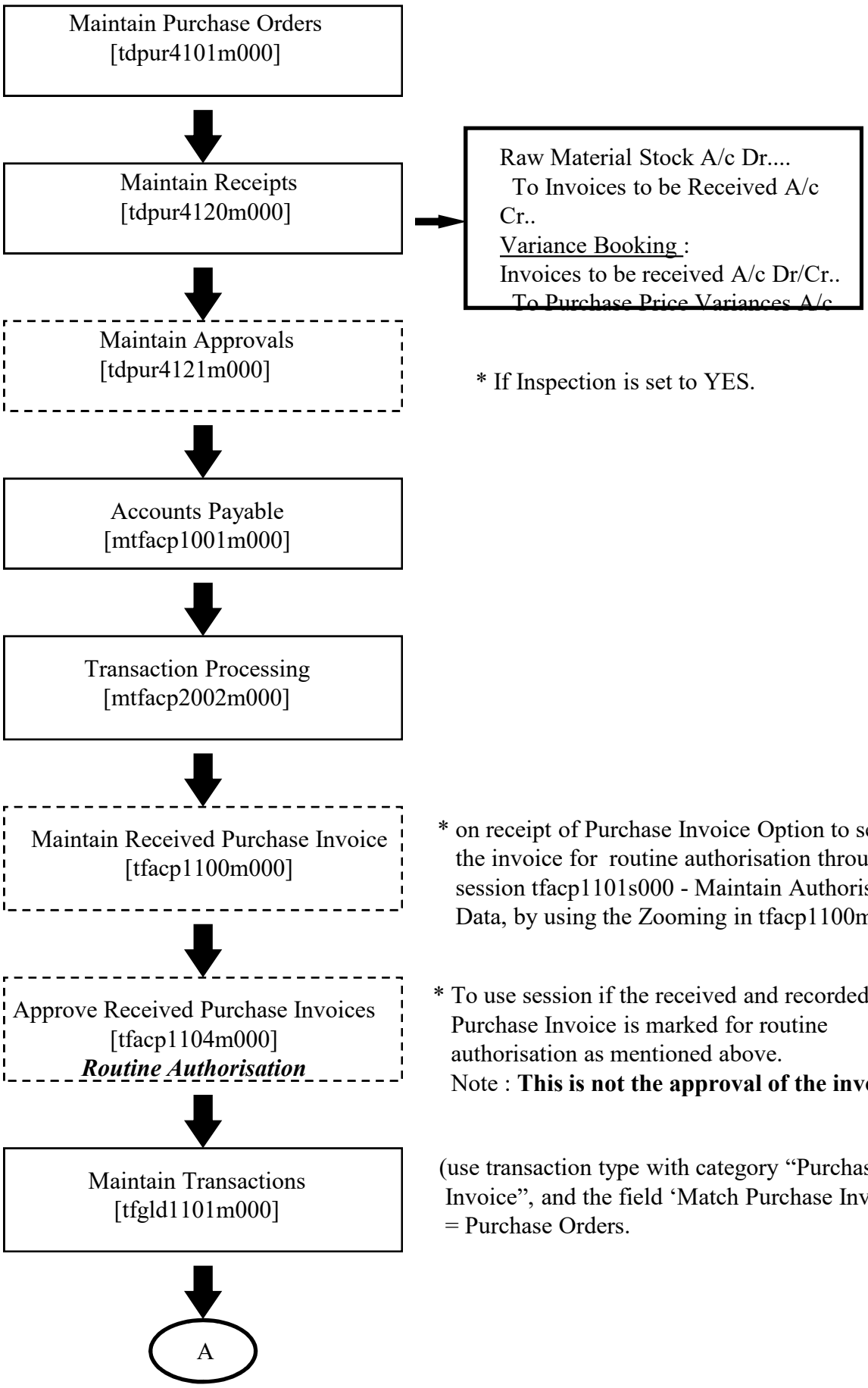
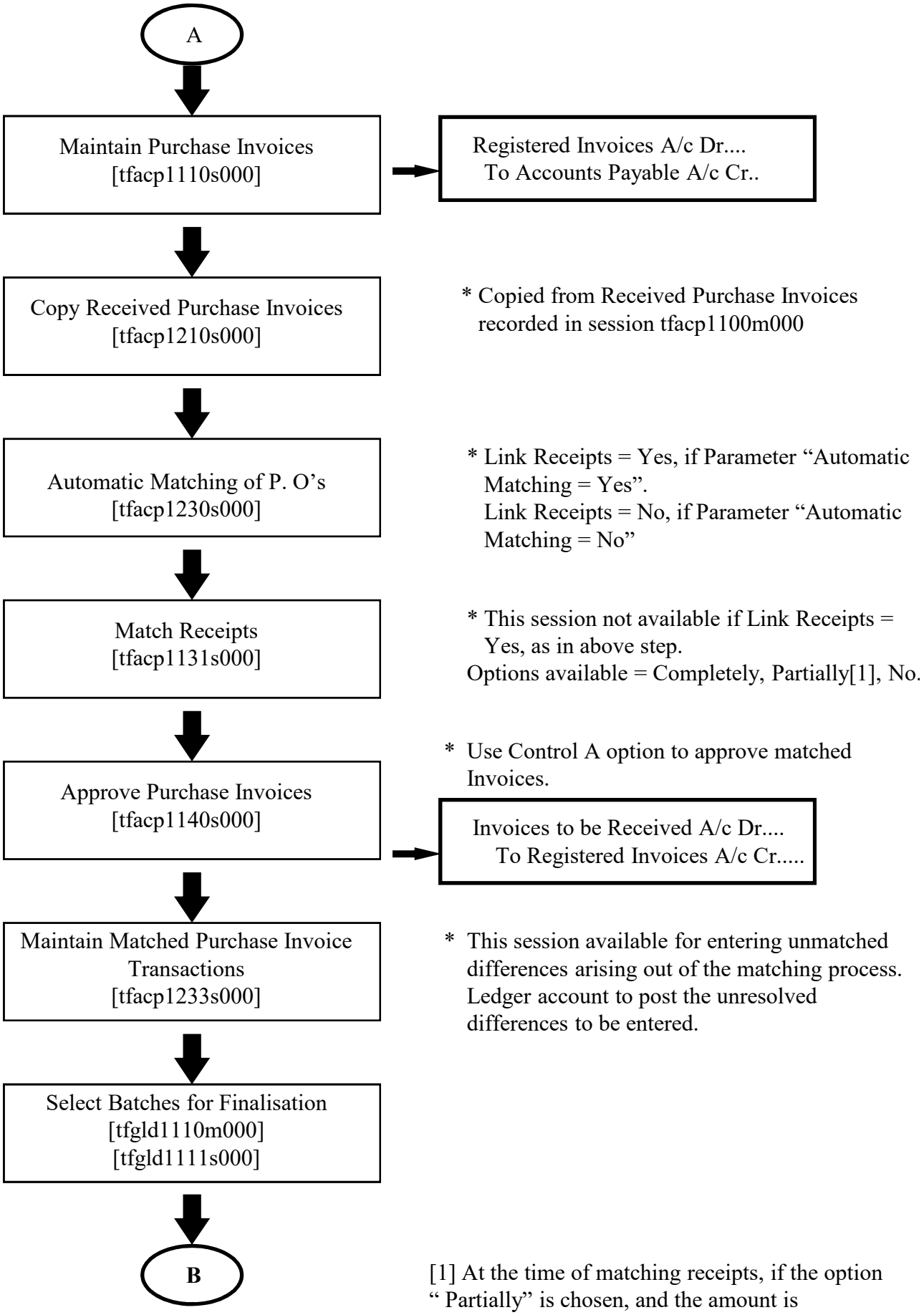
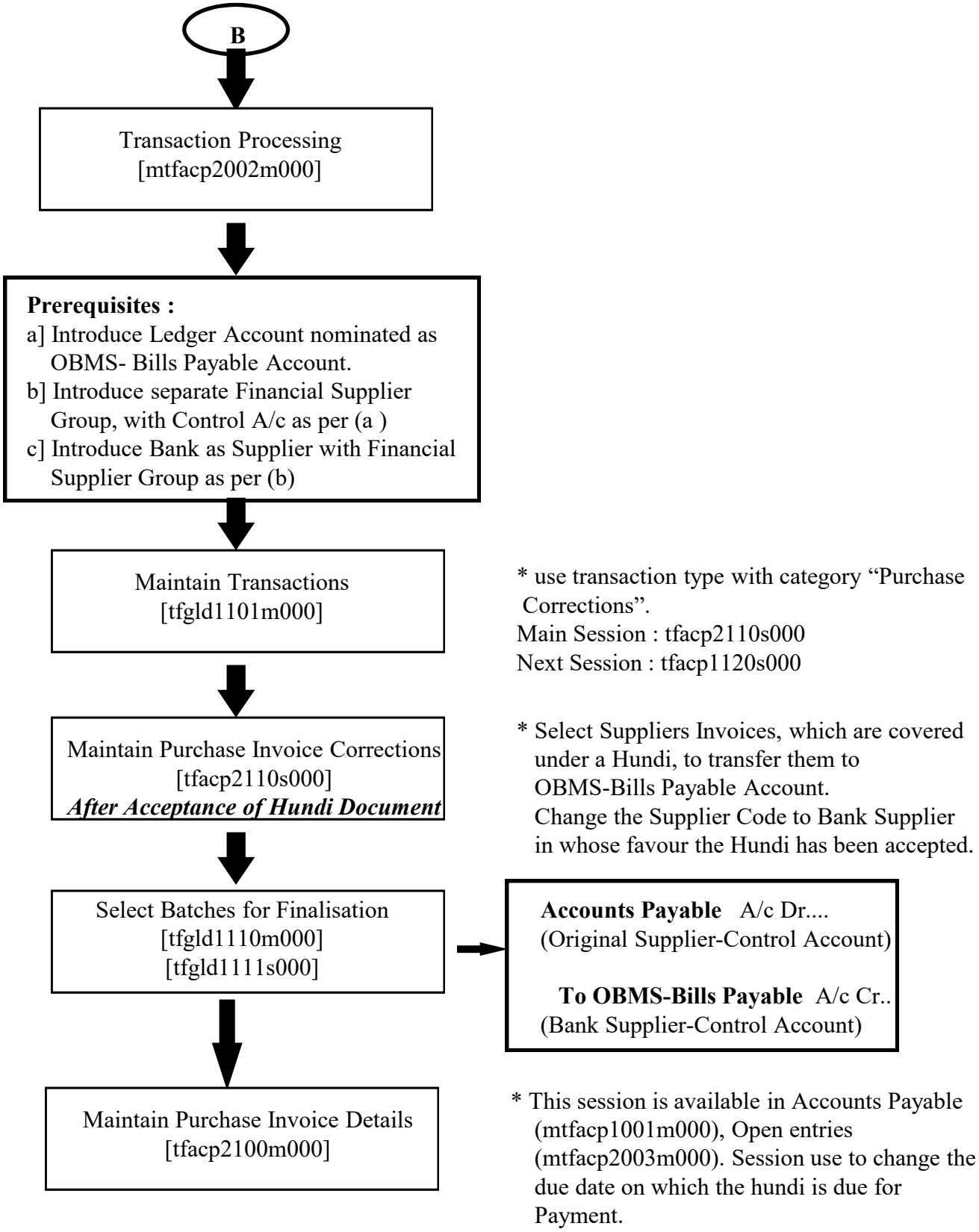
PROCEDURE FOR HUNDI (OBMS)



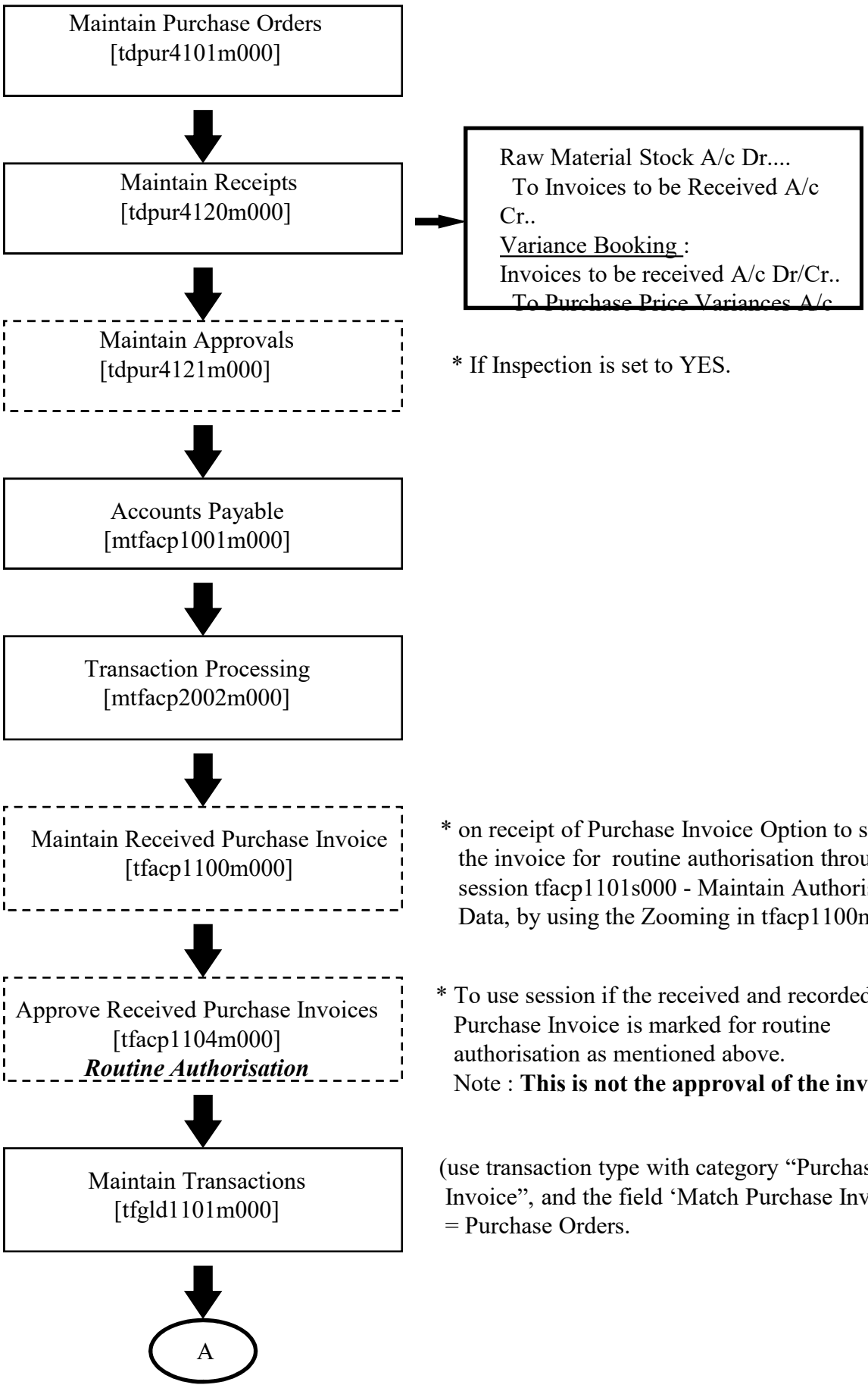


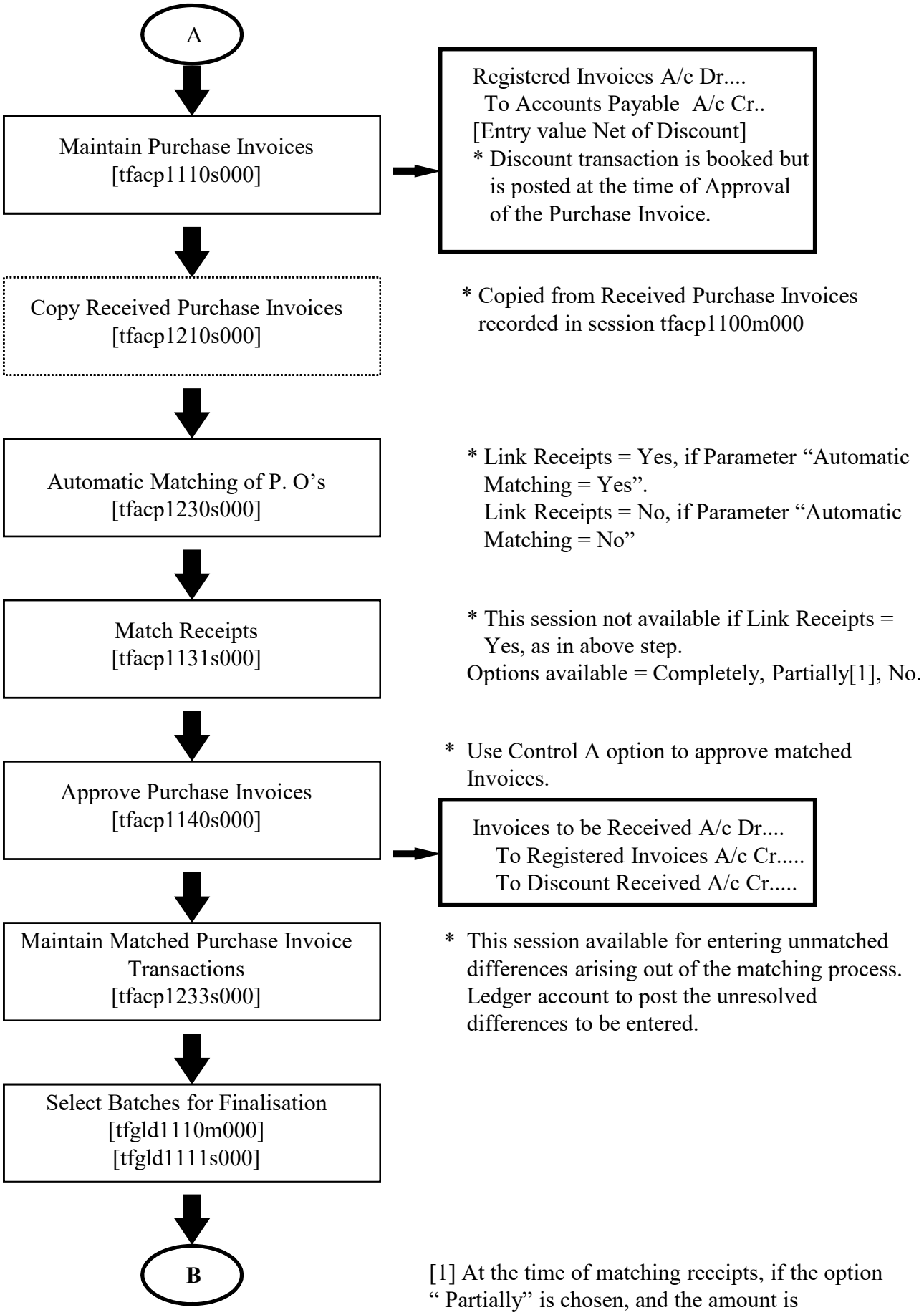
[1] At the time of matching receipts, if the option " Partially" is chosen, and the amount is changed then there is an automatic integration transaction generated for Purchase Price Variances.



Note : Procedure relating to payments against these Hundi will be same as discussed in detail in the Cash Management Procedure Flow on Supplier Payments. **In supplier payment procedure the supplier code to be selected should be Bank supplier code.**

PROCEDURE FOR HUNDI (NBMS)





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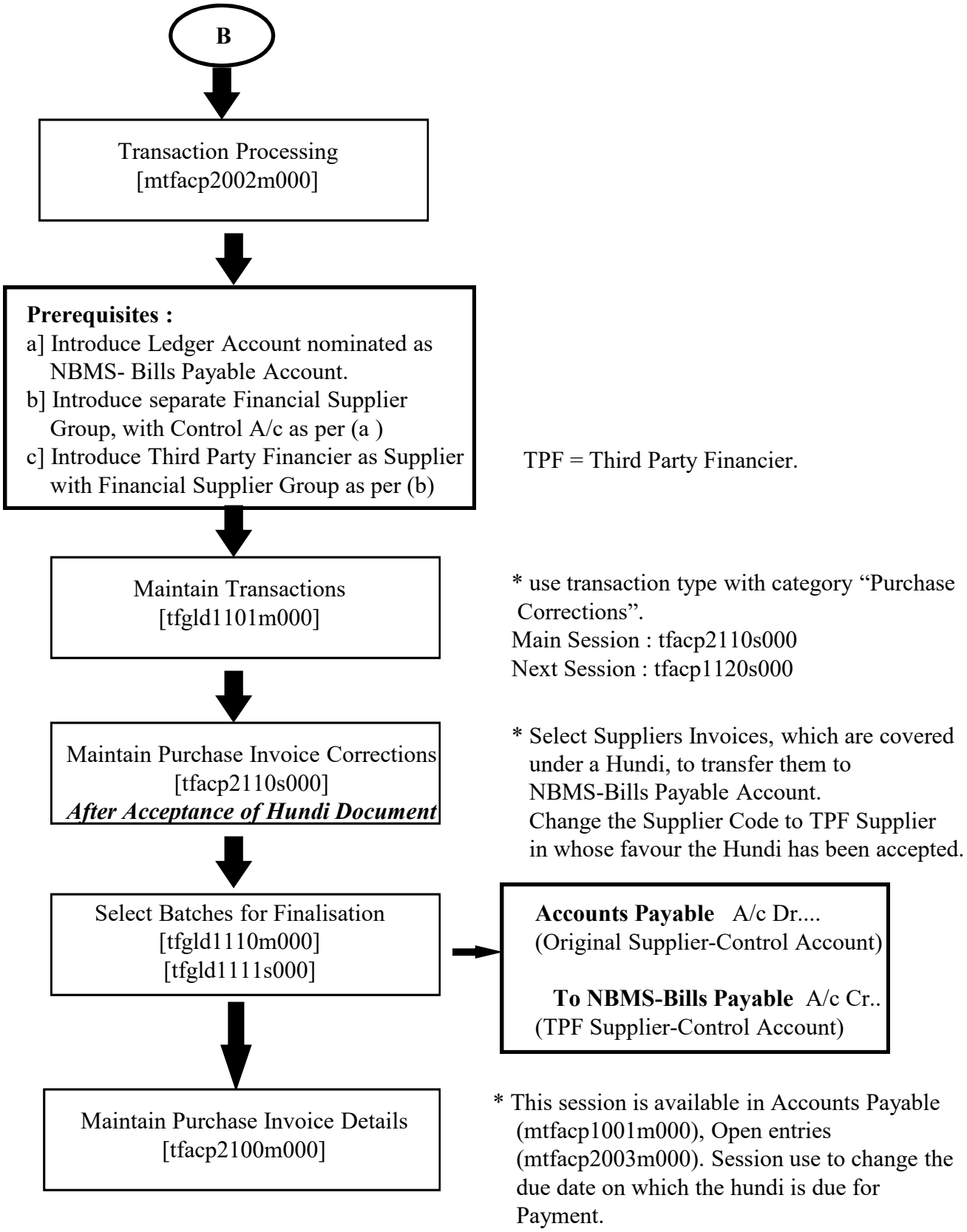

Note : Procedure relating to payments against these Hundi will be same as discussed in detail in the Cash Management Procedure Flow on Supplier Payments. **In supplier payment procedure the supplier code to be selected should be TPF supplier code.**